

MEDIA RELEASE:

DFSA Crypto Token regime comes into force

Dubai, UAE, 1 November 2022: The Dubai Financial Services Authority's (DFSA) Crypto Token regime comes into force today. This regime forms the second phase of the DFSA's work in this area following the introduction of a regime in the Dubai International Financial Centre (DIFC) for the Regulation of Investment Tokens in October 2021.

The intention of the Crypto Token regime is to foster innovation in a measured, responsible and transparent manner while still meeting the DFSA's regulatory objectives. The DFSA has taken a balanced approach in the development of this regime and will consider, as the sector develops, further changes and amendments to the regime in alignment with best practices and standards adopted by International Standard-setters.

The regime is comprehensive, covering not only AML/CFT risks in respect of trading, clearing, holding or transferring Crypto Tokens but also addressing risks relating to consumer protection, market integrity, custody and financial resources for service providers. The DFSA has extended the scope of many current financial services activities, for example, advising, dealing, arranging, trading and custody, to allow firms in the DIFC to be able to provide products and services in relation to Crypto Tokens.

Ian Johnston, Chief Executive of the DFSA said: "As a progressive regulator, the DFSA recognises the growing interest in innovative financial products. Our work to develop a comprehensive Crypto Token regime has taken into account feedback from a broad range of stakeholders. It aims to strike a balance between encouraging innovation in the DIFC and protecting the consumers of these financial products."

All firms, whether currently authorised by the DFSA or not, who wish to carry out business relating to Crypto Tokens in or from the DIFC can apply via the DFSA website www.dfsa.ae/innovation where they must complete a General Enquiries Contact Form.

Further information on the regime can be found [here](#).

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Editor's notes:

The Dubai Financial Services Authority (DFSA) is the independent regulator of financial services conducted in and from the Dubai International Financial Centre (DIFC), a purpose built financial free zone in Dubai. The DFSA's regulatory mandate covers asset management, banking and credit services, securities, collective investment funds, custody and trust services, commodities futures trading, Islamic finance, insurance, crowdfunding platforms, money services, an international equities exchange and an international commodities derivatives exchange. In addition to regulating financial and ancillary services, the DFSA is responsible for administering Anti-Money Laundering (AML) and Combating the Financing of Terrorism (CFT) legislation that applies to regulated firms and Designated Non-Financial Businesses and Professions in the DIFC. Please refer to the DFSA's website for more information.

Ian Johnston was appointed Chief Executive of the DFSA in September 2022. He previously served as the DFSA's Chief Executive from 2012-2018. A lawyer by background, Ian had several senior executive roles in the private sector, including as CEO of one of Australia's major trustee companies. The second half of his career being in regulation, Ian was an Executive Director at the Australian Securities and Investments Commission; Special Advisor at the Hong Kong Securities and Futures Commission; and since 2019, consulting to and advising a number of financial regulators in Europe, Asia and the Middle East.